

Planning case #1: Shockman

- Couple, both 59yr old.
- With a current Advisor, but unhappy with the level of planning and tax help as she transitions into retirement. Wife is currently working in Tech, and looking to retirement after 30+ years in sales. She previously worked at MSFT and has vested and unvested shares of stock. Husband is self-employed part-time as a house painter. Both are looking to move to Minnesota in 2026 and sell house worth 850k.
- \$2.8 million portfolio

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Areas of concern:

- invested in mutual funds with high costs
- At age 75, required minimum distributions projected to be \$125,000-\$140,000 annually
- Health insurance is a big issue going into retirement
- Social Security optimization
- need to manage income levels strategically to qualify for ACA marketplace subsidies, especially given potential policy changes.
- withdrawal strategy

This case is not so much about “Can I retire” but more about how can we go about this is the most optimized way. They have more than enough assets to support their spending. I built a MoneyGuide Pro plan, IncomeLabs withdrawal analysis, IncomeLabs Social Security analysis, Nitrogen investment analysis and proposal, and a holistic plan mock 2026 tax return.

Planning recommendations:

Cash Flow Planning:

Cash Flow: During the first year of retirement, you will draw on the living expenses from the roughly \$250,000 you currently have saved. You can keep this cash at your current bank in CDs, or you can transfer it to a High-Yield Savings Account that we can link to your accounts with us. This account is called Flourish Cash. The current rate it is paying is 3.75%. I recommend a HYSA account over a CD because it is more flexible. There are no time commitments for being locked in; you can pull money very fluidly. We do not receive compensation or charge an advisory fee on the money you place in Flourish; it is purely a value-added service for our clients.

You will draw from your cash during the first year of retirement, as we aim to keep your income low to reallocate some of your current taxable positions, such as Microsoft, and also receive some level of healthcare premium credits. Your Microsoft stock has a gain of roughly \$59,000, and your current joint taxable account has a gain of approximately \$61,000. When we are monitoring how to transition these, we can control the tax. As we reviewed in the meeting, there are opportunities to pay a 0% capital gains tax on these positions if we are under approximately \$ 130,000 in AGI. This all depends on what your

final income from your job is at the beginning of the year, Carrie, but that is why we stay flexible and meet often. What will likely happen is that we need to spread out the realization of those capital gains over two years, so as not to pay any taxes. We would be doing this to de-risk, diversify, and build a more tax-aware portfolio for your taxable investments moving forward.

Over the next few years, from ages 61 to 64, we will be drawing living expenses from taxable accounts: (your new Joint account with roughly 540k now, the additional cash proceeds from your \$850k-950k house sale in the future, and your current cash pile in the HYSA.) We will be able to accurately control your tax situation by utilizing our 55ip investment strategy, which we previously discussed. This strategy allows us to have greater control and visibility into taxable investments when it comes to selling and withdrawing.

For Social Security, we examined both options: receiving benefits at full retirement age (age 67) and at the earliest time, which is 62. If living to 90, your lifetime benefits for taking SS at 67 would be \$1,699,920. If you were to start at 62, your lifetime benefits would be \$1,426,266. Neither option has a measurable impact on the overall plan's success rate. This is one of those items where, when 62 is near, we will review again to see where it fits into the overall picture. It may make sense to take at 62, or it may make sense to take at 65, receive a slightly higher amount, and then also avoid SS being taxed during years where we are doing Roth conversions.

Tax Planning:

I emphasized strategic Roth conversions as a key tax planning opportunity. By converting pre-tax assets to Roth accounts during lower-income years and filling up the 22% tax bracket, they could potentially save approximately \$2.1 million in lifetime taxes. This approach would prevent Required Minimum Distributions (RMDs) from pushing them into higher tax brackets later (potentially 32%) when combined with Social Security income. Not only does it decrease lifetime taxes, but it is a more valuable asset for passing onto their 3 beneficiaries due to the Roth inherited RMD rules vs Trad IRA RMD.

For 2026, I discussed realizing capital gains from Microsoft stock (approximately \$59,000 gain) and their managed account (approximately \$61,000 gain) with minimal tax impact due to having little to no other income that year. Staying under the 15% cap gains rate limit. I also noted they would use outside assets to pay conversion taxes rather than reducing the conversion amount, maximizing what can get into the Roth and taking advantage of their large cash surplus.

For 2025, we would do a SEP IRA contribution for Zach, up to the max amount. Carrie did the Catch u 401k contribution in 2025, in 2026 even though she is retiring in May, we are front-loading her 401k with the super catch up. However the super catch up portion needs to be in Roth, a unique caveat to the IRS rule. She is able to do the super catch up even though she is 59, because she turns 60 in the tax year.

For the house sale

Social Security:

I looked at different Social Security strategies. While still a few years away from the earliest withdrawal age, it was interesting to look at. When looking at Social Security, you can try to solve for what's mathematically the best, or what's best for the client's goals. Those aren't always the same. Delaying until FRA would give the largest monthly amount. Wife is the primary income during earning years, so it makes sense for her to delay as long as possible, as husband will either get $\frac{1}{2}$ or a pro-rated amount of that $\frac{1}{2}$ depending on when he claims. Taking benefits at 67 would provide lifetime benefits of approximately \$1.7 million if they live to 90, while taking early benefits would provide less overall but start sooner. I noted the breakeven point would be age 76, and that delaying benefits would increase Roth conversion opportunities due to higher taxable income.

Healthcare: Using the Minnesota healthcare marketplace, I projected costs of approximately \$880/month for both clients with a potential tax credit of \$385/month if their income stays around \$125,000. I budgeted \$25,000 annually for healthcare costs during these gap years, which would decrease to approximately \$11,280 annually once on Medicare. I suggested using their HSA funds (approximately \$50,000) to pay for premiums during the gap years. I suggested staying on Cobra for 2026 here recently, post-retirement, as the wife had already met her deductible under the current plan due to surgery.

Investments: They had a decent portfolio construction, but there were some high expense ratios and lower international exposure. **Investments & Risk:** We used Nitrogen, a risk analysis software, to input your current holdings and compare them with our planned strategy. The current risk level for your managed portfolio is approximately 56 out of 100, where 0 represents no risk and 100 indicates the highest risk. Nitrogen gives your current portfolio a GPA score of 3.6. The annual midpoint return range over a complete bull and bear market is approximately 5.13%. You currently have approximately 62% in equities and 38% in fixed income, including bonds and cash.

Given your current risk, the potential return should be slightly higher. We will adjust accordingly. We reviewed an example of an optimized allocation. The total risk with this improved strategy is 52 out of 100. The GPA score for diversification improves to 3.8, which is much better. The annual midpoint return range over a complete bull and bear market is about 5.71%. Our strategy would also involve approximately 62% in well-diversified equities and 38% in fixed income, including bonds, gold, or cash. It is also essential to consider asset location, in addition to allocation. With your Roth IRA accounts being for use later in life and having a longer investment timeline, we will be slightly more aggressive in those accounts, holding more equities compared to your taxable money. We examine the overall portfolio of your assets to ensure they work together effectively. It may seem counterintuitive to lower risk without a corresponding decrease in return potential, but that is the beauty of diversification. We can reduce risk while slightly improving the return potential.

